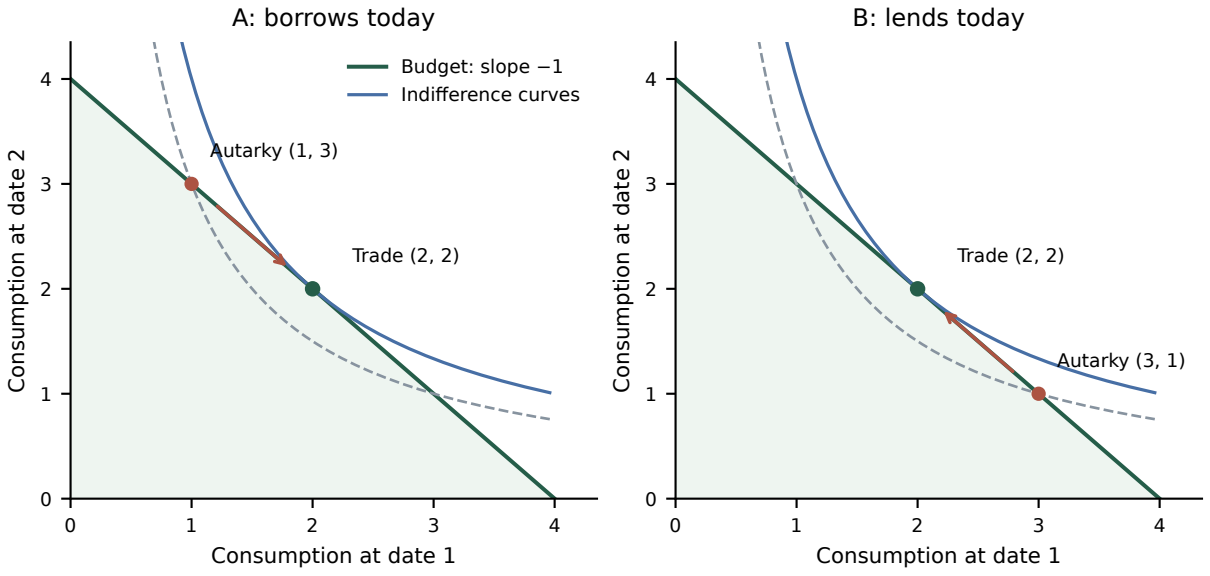
A: borrows today
B: lends today
Budget: slope −1
Indifference curves
Autarky (1, 3)
Trade (2, 2)
Autarky (3, 1)
Consumption at date 1
Consumption at date 2
0
1
2
3
4